



Frequently Asked Questions – Housing Levy

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Q: I'm already paying the Housing Levy. Why do I still need to save to buy a home?

A: The levy funds **construction, infrastructure, and affordable financing** at a national level. Buying a home still requires a **deposit** and payments to secure ownership under your selected plan. The levy helps keep prices **below market** and expand access to options like **TPS** and **low-interest loans**.

Q: Is the Housing Levy a personal savings or contribution?

A: No. It's a **statutory contribution** remitted to the Affordable Housing Fund to support housing and infrastructure. Your portal **voluntary savings** are personal and can go toward your deposit.

Q: Will I get a refund of the Housing Levy if I don't buy a home?

A: No. The Housing Levy is **not a refundable** personal contribution. It is designed to ensure that housing remains affordable for all Kenyans. However, levy contributors benefit from:

**Below-Market Prices**

Lower-than-market home prices

**Modern Amenities**

Access to modern social amenities

**Affordable Financing**

Access to TPS and low-interest home loans

Q: If I've paid the levy for years, do I get a discount when buying?

A: No. There is **no direct individual discount**. All buyers benefit from **below-market pricing** and access to **affordable financing**.

Q: Who manages the Housing Levy, and how is it used?

A: The Affordable Housing Fund is managed by the **Affordable Housing Board** under public finance laws. It funds:

- **Construction** of housing units
- **Infrastructure** (roads, water, electricity, amenities)
- **Affordable finance** (TPS, low-interest loans)

Regular **audits** ensure accountability.

Q: If I don't want to buy a house, why should I pay the levy?

A: It's a **national investment** that:

- Expands **housing supply**
- **Stabilizes** home prices
- Creates **jobs** (3-5 direct jobs per unit)
- Builds **infrastructure** that benefits all Kenyans

Q: How do I check my Housing Levy payments?

A: Through:

- **Payslips** (if you are employed)
- **Tax records** (if you are self-employed)

The levy will **not** appear in your **Boma Yangu e-wallet** balance.

Q: Can the government use Housing Levy funds for other purposes?

A: No. Funds are **ring-fenced** under the Affordable Housing Fund per the **Affordable Housing Act, 2024**, for housing, infrastructure, and financing support. Regular **audits** are conducted to ensure accountability.

Q: Can I transfer Housing Levy deductions to my voluntary savings?

A: No. The levy and voluntary savings are **separate**. The levy goes to the Affordable Housing Fund to support national housing infrastructure, while your voluntary savings go into your **personal Boma Yangu e-wallet**.

Key Difference: Housing Levy vs. Voluntary Savings



Housing Levy

Mandatory statutory contribution

Not refundable

Funds **national infrastructure**

Does not appear in Boma Yangu balance



Voluntary Savings

Optional personal savings

Refundable on request

Goes toward your **personal deposit**

Appears in Boma Yangu e-wallet



Quick Summary – Housing Levy

Type: Mandatory statutory contribution (3% employer + 3% employee)

Refundable: ❌ No | **Shows in Boma Yangu:** ❌ No

Purpose: Funds housing construction, infrastructure, and affordable financing

Benefits: Below-market prices, modern amenities, affordable financing (TPS)



Ring-Fencing

Housing Levy funds are **ring-fenced** under the Affordable Housing Fund per the **Affordable Housing Act, 2024**. They **cannot** be used for other purposes. Regular **audits** ensure accountability and transparency.



Key Takeaways

- The levy is **not a personal savings account** – it's a national investment
- It helps keep home prices **below market** and funds **infrastructure**
- Levy contributors benefit from **affordable financing** options like TPS
- The levy **cannot be refunded** or transferred to voluntary savings

 Important Notes

- The Housing Levy is **not refundable** – it funds national housing infrastructure
- Levy payments **do not appear** in your Boma Yangu e-wallet balance
- All buyers benefit from **below-market pricing** – no individual discounts
- Funds are **ring-fenced** and **audited** for accountability

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Prepared by the State Department for Housing and Urban Development, Kenya

For more information, visit the **Boma Yangu** portal.